# WAVERLEY GATEWAY GUIDE

*Connecting International Capital with Emerging & Frontier Markets*

# BAHAMAS

Americas

*Information current as of October 2026*

Dialogue | Trust | Partnership

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## WHERE AND HOW TO ENTER

### KEY INVESTMENT LOCATIONS

| Location / Region | Strategic Importance | Priority Sectors |
|---|---|---|
| Nassau / New Providence | Capital and main commercial, financial and cruise hub; around two-thirds of stopover visitors stay in Nassau and Paradise Island, and the port handled record throughput in 2025 | Tourism, financial services, real estate, retail |
| Paradise Island | Flagship resort cluster beside Nassau, strengthened by Royal Caribbean's Royal Beach Club, which opened in early 2026 | Resorts, hospitality, leisure |
| Grand Bahama / Freeport | Free trade zone under the Hawksbill Creek Agreement with tax exemptions to 2054; arrivals passed 1 million in 2025 for the first time in over 22 years | Cruise and resort development, ship repair, logistics, light industry |
| Billy Cay and the Grand Lucayan (Grand Bahama) | MSC's planned $450 million cruise berthing complex and the Grand Lucayan redevelopment with an MSC Beach Club, where demolition began in 2026 | Cruise infrastructure, hospitality, construction |
| Clifton Pier (New Providence) | Site of the LNG regasification terminal on which Shell took a final investment decision in July 2026 to convert power generation to natural gas | Energy, power generation, utilities |
| Abaco | Record of almost 520,000 visitors in 2025, with solar and battery storage being added to the grid | Tourism, marinas, renewable energy |
| Eleuthera and the Family Islands | Draw nearly 30% of stopover visitors; 19 Family Island airports are being upgraded and Family Island development incentives apply | Boutique resorts, second homes, agriculture, infrastructure |

### INVESTOR ENTRY ROUTES

- Bahamas Investment Authority (BIA), within the Office of the Prime Minister, approves foreign investment proposals, typically within one to six months, with major projects referred to the National Economic Council
- National Investment Policy opening resorts, upscale second-home development, banking and financial services, captive insurance, export manufacturing, pharmaceuticals and offshore medical centres to foreign investors, while reserving areas such as retail, wholesale and real estate agencies for Bahamians
- Heads of Agreement with the government for major projects, setting out incentives alongside Bahamian employment, training and environmental commitments

- Hotels Encouragement Act, Family Island Development Encouragement Act and Industries Encouragement Act offering duty-free materials and real property tax relief, including a 15-year exemption for approved factory premises
- Freeport free trade zone under the Hawksbill Creek Act, exempt from excise tax, stamp duties and most customs duties until 2054
- Bahamian dollar pegged at par to the US dollar; registering investments with the Central Bank of The Bahamas (two to eight weeks) secures the right to repatriate capital and profits, with the regime simplified and some approvals delegated to banks in 2024
- Tax-efficient regime with no corporate or personal income tax and a 10% standard VAT, plus a 15% domestic minimum top-up tax for in-scope multinational groups; digital-asset businesses are licensed by the Securities Commission under the DARE Act 2024

### MARKET-ENTRY OBSERVATION

The Bahamas in October 2026 offers a stable, high-income, US-dollar-linked economy with strong tourism momentum and improving public finances. The IMF estimates real GDP growth of 2.8% in 2025 and projects 2.2% in 2026, with inflation of just 0.6% in 2025. Visitor arrivals reached a record 12.5 million in 2025, up 11.4%, and rose a further 17.5% to 3.9 million in the first quarter of 2026. Foreign direct investment increased to $1.54 billion in 2025 from $1.46 billion, according to UNCTAD, supported by major cruise, resort and energy projects including MSC's $450 million Grand Bahama complex and Shell's LNG terminal. Fitch affirmed the sovereign at BB- with a stable outlook in July 2026, projecting debt to fall to 65.9% of GDP by FY2027/28 from a peak of 89.5%, while external reserves of B$3.2 billion remain well above international benchmarks. The Progressive Liberal Party's re-election in May 2026, with 33 of 41 seats, gives clear policy continuity.

The country's main structural consideration is concentration: tourism, with cruise passengers making up 86.5% of arrivals, and the United States, which supplies around 83% of imports and most visitors, drive the economy, alongside exposure to Atlantic hurricanes. The Bahamas is broadening its base and building resilience. Financial services contribute 15–20% of GDP, with $103 billion in international banking assets, while energy reform is replacing fuel oil with natural gas and adding solar and battery storage on the Family Islands to lower electricity costs. Fiscal consolidation has delivered a primary surplus and rating stability, and the government has used a $300 million debt-for-nature swap to support conservation. Land registration reform in force since January 2026 and stronger tax and transparency frameworks add to predictability. This creates opportunities in diversified and Family Island tourism, resilient infrastructure, renewable energy and financial services.

## INVESTOR RISK & MARKET ACCESS

### KEY ENTRY BARRIERS

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| Hurricane and climate exposure | The islands lie in the Atlantic hurricane belt, and Hurricane Dorian in 2019 was a principal cause of the fiscal pressures of recent years | Build to resilient standards and secure catastrophe insurance; climate-resilient infrastructure, flood management and renewables are growing investment areas |
| Concentration on tourism and the US market | Tourism, led by cruise arrivals, is the main growth driver and the US is the dominant source market and supplier | Record arrivals and rising non-US air traffic (up 24.3% in July 2026) support demand; diversify through Family Island, stopover and financial-services exposure |
| Approval timelines across agencies | Major projects require several approvals, and the planned conversion of the BIA into an independent Bahamas Invest agency has yet to be completed | Engage the BIA and the Investment Promotion and Facilitation Unit early, use experienced local counsel and set terms in a Heads of Agreement |
| Reserved sectors and landholding permits | Retail, wholesale, real estate agencies and several other activities are reserved for Bahamians, and non-Bahamians need permits to acquire most land | Focus on the wide range of open sectors, partner with Bahamian firms where appropriate, and benefit from the new registered land title system |
| Exchange control requirements | Foreign investment must be registered with the Central Bank to secure repatriation rights, adding a procedural step | The 1:1 US dollar peg removes currency risk once registered; recent simplification and delegation to banks have shortened processing |
| Electricity costs and reliability | Reliance on imported fuel oil has kept | Conversion to LNG at Clifton Pier and |

| Issue | Potential Impact | Possible Mitigation |
|---|---|---|
| | power costs high and supply uneven on some islands | solar-plus-storage programmes are lowering costs and opening opportunities in energy and efficiency |
| Public debt and tax reform | Debt of around 70% of GDP and high interest costs constrain the rating, and the IMF has recommended broadening revenue, including through income taxes | Debt is on a firm downward path with a primary surplus; model potential tax changes and the 15% minimum top-up tax in project economics |

### INVESTOR RISK NOTE

The Bahamas' risk profile is that of a stable, well-governed democracy with regular, orderly elections, an English common-law legal system and a currency pegged at par to the US dollar. Fiscal consolidation has cut debt from a peak of 89.5% of GDP, produced primary surpluses and secured a stable BB- rating, while external reserves comfortably support the peg. The main considerations are natural: hurricane exposure and dependence on US-led tourism, both managed through resilient construction, insurance, climate finance and a steady broadening of the economy into financial services, energy and Family Island development. Investors should also allow for multi-agency approvals, Central Bank registration and possible future tax reform, all of which are predictable with early engagement and good local advice. The Bahamas' renewed electoral mandate, removal from international tax and anti-money-laundering lists and continuing reforms support a constructive outlook.

### MARKET ACCESS

The Bahamas lies just off the coast of Florida and is closely integrated with the United States, which supplied around 83% of its imports in 2024 and provides the large majority of air visitors; frequent air links and the Florida cruise corridor make it one of the most accessible destinations in the region. The country is a member of the Caribbean Community (CARICOM) and a party to the CARIFORUM–EU Economic Partnership Agreement, and is an observer pursuing accession to the WTO rather than a full member. Freeport Container Port on Grand Bahama is a regional transshipment hub, with MSC negotiating to acquire Hutchison Ports' operations there, and Freeport's free trade zone supports logistics and ship repair. The Bahamas was removed from the EU's list of non-cooperative tax jurisdictions in February 2024 and from the FATF grey list in 2020, strengthening access for its financial-services sector.

## WHO SHOULD THE INVESTOR MEET?

### INSTITUTIONAL LANDSCAPE

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Office of the Prime Minister (Philip Davis) | Leads economic and fiscal policy and houses the investment approval and facilitation functions; the Prime Minister secured a second term in May 2026 | Primary reference point for national priorities and major-project agreements |
| Bahamas Investment Authority | Approves foreign investment proposals and coordinates with the National Economic Council and other agencies | Standard first point of contact for market entry, incentives and Heads of Agreement |
| Central Bank of The Bahamas | Maintains the US dollar peg, administers exchange control and supervises banks and trust companies | Essential for investment registration, repatriation and banking-sector matters |
| Ministry of Tourism, Investments and Aviation | Drives the country's largest sector and airport and cruise development | Key partner for hospitality, cruise and aviation investment |
| Grand Bahama Port Authority | Administers the Freeport free trade zone under the Hawksbill Creek Agreement and, through its affiliate, a land bank of about 70,000 acres | Gateway for Freeport incentives, land and industrial projects |
| Securities Commission of The Bahamas | Regulates capital markets, investment funds and digital-asset businesses under the DARE Act 2024 | Relevant for fund, fintech and digital-asset structuring |

| Actor | Why It Matters | Waverley Engagement Angle |
|---|---|---|
| Bahamas Power and Light | State-owned utility leading conversion of power generation to natural gas and grid upgrades | Counterpart for energy, LNG and renewable-power investment |

## CURRENT INTERNATIONAL BUSINESS CHANNELS

The Bahamas Chamber of Commerce and Employers' Confederation is the leading business association and a practical source of market intelligence, and the government hosts the Bahamas Business and Investment Forum to showcase opportunities to international investors. The Bahamas Financial Services Board promotes the international financial centre, while the Grand Bahama Port Authority is the main channel for Freeport. Major cruise lines, including Carnival, Royal Caribbean and MSC, and international hotel groups have a substantial in-country presence. The Inter-American Development Bank and the Caribbean Development Bank support infrastructure, resilience and public-sector reform, with multilateral financing forming part of the government's 2026/27 funding plan.

## INVESTOR PROFILE BEST SUITED

The Bahamas suits investors seeking a stable, US-dollar-linked market with strong tourism demand and a tax-efficient regime: hotel, resort, marina and second-home developers using the Hotels Encouragement and Family Island incentives; cruise, port and logistics investors following the expansion on Grand Bahama and New Providence; energy investors targeting LNG conversion, solar and storage; and financial-services, wealth-management, funds and digital-asset businesses drawn by the common-law framework and an established international financial centre. Investors should be comfortable with partnering locally in reserved sectors and building hurricane resilience into project design.

## FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Bahamas Investment Authority early
Present the project to the BIA and the Office of the Prime Minister's facilitation unit to confirm eligibility under the National Investment Policy and agree incentives in a Heads of Agreement.

STEP 2: Register with the Central Bank and secure land approvals
Complete exchange-control registration to secure repatriation rights, and obtain any landholding permits under the new registered land system.

STEP 3: Select the right incentive framework
Compare the Hotels Encouragement Act, Family Island and Industries Encouragement incentives and the Freeport free trade zone for the project's location and sector.

STEP 4: Build resilience into project design
Incorporate hurricane-resilient construction, catastrophe insurance and on-site renewable power to protect returns and reduce operating costs.

STEP 5: Track the Grand Bahama and energy pipelines
Follow the MSC, Grand Lucayan and LNG conversion projects for supply-chain, services and partnership opportunities as they move into construction.